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BOE Technology | Asia Pacific

2Q26 Preliminary Net Profit Beat

Reaction to earnings

Unchanged

Impact to our thesis



Meaningful upside

Financial results versus consensus



Meaningful revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

2Q26 results details:

- BOE reported preliminary 1H26 net income of Rmb5,000-5,500mn (+54% to +69% YoY), recurring net profit of Rmb3,080-3,310mn (+35% to +45% YoY) and EPS of Rmb0.13-0.15 (+50% to +73% YoY).
- This implies 2Q26 net income of Rmb3,293-3,793mn (+93% to +102% QoQ/+122% to +132% YoY), with the midpoint Rmb3,543mn surpassing MSe of Rmb1,958mn (+15% QoQ/+20% YoY) by 81% and consensus of Rmb2,007mn (+18% QoQ/+23% YoY) by 77%.
- That said, 2Q26 recurring net profit of Rmb1,642-1,872mn (+14-30% QoQ/+76-101% YoY) implies that there were some one-off profits during the quarter.

Our view:

- In the near term, we expect TV panel prices to start trending down from 3Q26, as below-seasonal TV panel order momentum in 2H26 is likely to soften the bargaining power of panel makers. Nonetheless, we see downside support for panel prices as the major makers maintain disciplined supply output.
- The market has been paying attention to the glass opportunities in advanced packaging, especially glass core substrates. BOE aspires to finish the whole glass core substrate manufacturing, including the glass core with TGVs and the build-up layers. It has been engaging with domestic and overseas IC designers for verifications. Our understanding is that it could spend Rmb5bn to build a monthly capacity of 15K substrates (510*515mm) in 2027 and target mass production in 2028 if things move smoothly, though the final revenue contribution will depend on actual orders (see our report [here](#)).

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Asia Summer School 2026

BOE Technology (000725.SZ, 000725 CS)

Greater China Technology Hardware | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb9.30
Up/downside to price target (%)	22
Shr price, close (Jul 8, 2026)	Rmb7.63
52-Week Range	Rmb9.50-3.79
Shr out, dil, curr (mn)	37,414
Mkt cap, curr (mn)	Rmb285,468
EV, curr (mn)	Rmb415,815
Avg daily trading value (mn)	Rmb4,722

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.16	0.20	0.27	0.35
EPS (Rmb)§	0.17	0.22	0.31	0.39
Revenue, net (Rmb mn)	204,590	209,550	219,376	232,150
EBITDA (Rmb mn)	62,354	50,045	53,090	57,382
ModelWare net inc (Rmb mn)	5,857	7,307	9,927	12,917
P/E	26.9	39.1	28.8	22.1
P/BV	1.2	2.0	1.9	1.8
RNOA (%)	7.8	7.9	7.9	7.8
ROE (%)	4.4	5.4	7.1	8.8
EV/EBITDA	4.6	8.8	9.0	8.8
Div yld (%)	1.2	0.7	0.9	1.2
FCF yld ratio (%)	2.7	(2.0)	(4.6)	(2.9)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

BOE Technology (000725.SZ)

Base case, P/B valuation, which we think better reflects BOE's intrinsic value in view of the industry's relatively cyclical nature and aligning with the methodology we use for other panel makers in Greater China. We view our target multiple of 2.5x 2026e P/B as reasonable given that we estimate ROE of 5-8% over 2026-28 vs. BOE's average of 1.1x P/B in 2023-25 with ROE of 2-4% during the same period.

Risks to Upside

- Better-than-expected industry-wide ASP
- Higher yield in G10.5 fab
- Faster-than-expected AMOLED ramp
- Faster progress on advanced packaging business

Risks to Downside

- Worse-than-expected industry-wide ASP
- Lower yield in G10.5 fab
- Slower-than-expected AMOLED ramp
- Slower progress on advanced packaging business

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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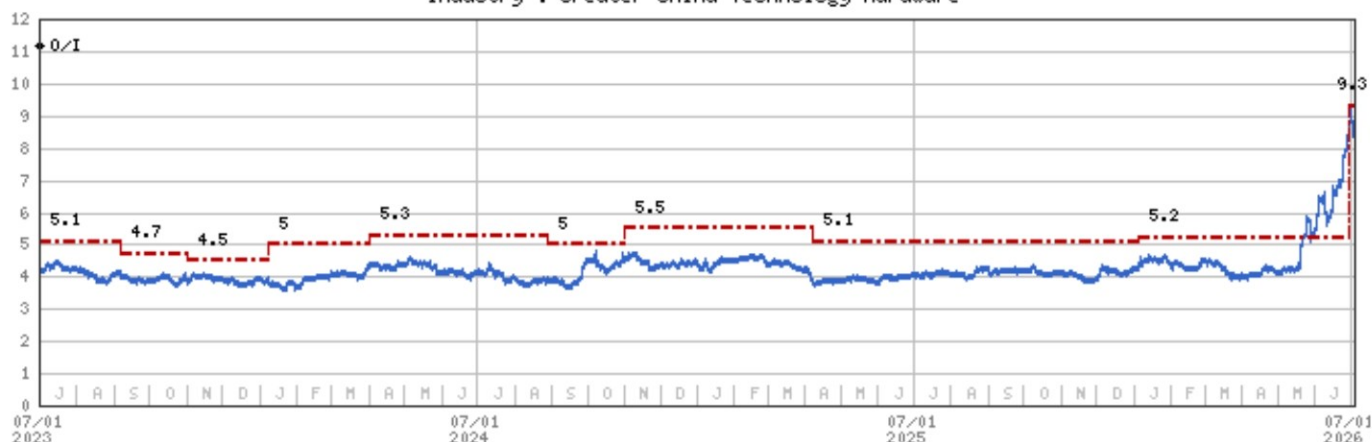
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BOE Technology (000725.SZ) - As of 07/04/26 GMT in CNY
Industry : Greater China Technology Hardware



Stock Rating History: 7/1/21 : 0/I

Price Target History: 6/18/21 : 7.7; 8/19/21 : 7.2; 8/31/21 : 7.7; 10/20/21 : 6; 11/5/21 : 6.3; 3/17/22 : 5.5; 4/29/22 : 5.3; 8/31/22 : 4.8; 10/4/22 : 4.5; 4/5/23 : 5.1; 9/6/23 : 4.7; 11/2/23 : 4.5; 1/8/24 : 5; 4/2/24 : 5.3; 8/29/24 : 5; 11/1/24 : 5.5; 4/7/25 : 5.1; 1/5/26 : 5.2; 6/30/26 : 9.3

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/08/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.02
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb216.81
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$21.36
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.10
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.96
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb510.84
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$612.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb20.41
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.40
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.35
Largan Precision (3008.TW)	E (10/17/2025)	NT\$3,950.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.55
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb15.06
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb62.47
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.78
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.92
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb50.12
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$32.34
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb62.25
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$57.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb245.68
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb18.53
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$25.30
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb410.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$151.90

Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb120.56
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb32.04
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,128.35
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.20
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb36.87
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,415.00
Advantech (2395.TW)	O (01/20/2021)	NT\$546.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,345.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,325.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$29.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$925.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,900.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb7.63
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,195.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,855.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,885.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$199.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$61.90
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,395.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$340.00
Innolux (3481.TW)	E (04/07/2025)	NT\$65.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$8,095.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb46.05
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$214.00
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$90.90
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.04
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.86
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb297.10
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$32.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$687.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$195.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$35.50
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$6.17
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb66.01
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$335.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,150.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$237.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb78.17
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,095.00
Lenovo (0992.HK)	E (11/16/2025)	HK\$22.32
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,990.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,105.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$83.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$377.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb145.46
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb402.33
Unimicron (3037.TW)	O (02/23/2026)	NT\$863.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$335.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$146.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,050.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$891.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$565.00

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